

DR OSEI BONSU DICKSON FCIMArb

INTERNATIONAL ARBITRATION



CENTER FOR INTERNATIONAL MEDIATORS AND ARBITRATORS

Introduction to International Arbitration: Key Principles

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The Oxford in our series title does not reflect affiliation with University of Oxford, but the city that shapes our mission. Our name reflects where the journey began. The City of Oxford is our starting point, Africa is our purpose.

World Law Building
Digital Address: GE -279-5041
Naa Shika Ave, Off Supermarket Junction
Haatso Mabey, Accra, Ghana
www.thecima.org
Box 172 Kw Kwabenya, Accra
t: +233 (0) 241022964



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Introduction to International Arbitration: Key Principles

In this e-book I aim to teach international arbitration, an essential mechanism, for resolving cross-border dispute, particularly in regions with diverse legal frameworks such as Africa and the Middle East. We shall commence with the key principles in international arbitration, notable among them, party autonomy, neutrality, kompetenz-kompetenz, arbitrability, confidentiality, and enforceability is vital. This book explores these foundational principles and addresses specific issues relevant to practitioners in Africa and the Middle East. Through examples and case law, we show how these principles apply in various contexts.

1. Introduction

With the increasing growth of global business, international arbitration has emerged as a preferred method of dispute resolution. Its structure offers a flexible, enforceable, and impartial process, allowing parties to resolve disputes outside traditional court systems. Understanding arbitral principles such as party autonomy, arbitrability, kompetenz-kompetenz, neutrality, and enforceability is crucial to navigating complex legal landscapes and advising clients. We will examine these principles, highlighting relevant cases, examples, and challenges in the African and Middle Eastern contexts.

2. Key Principles of International Arbitration

The foundational principles of international arbitration form a framework that must be understood to effectively manage arbitration matters. Each principle is designed to ensure that arbitration proceedings are fair, impartial, and enforceable.

2.1 Party Autonomy

The principle of party autonomy allows parties to design their own arbitration process by agreeing on the rules, seat, choice of arbitrators, and governing law. This principle is particularly important in the context of cross-border disputes, where parties from different jurisdictions can create a neutral and balanced process.

- **Example:** A Nigerian oil company and a UAE contractor used an arbitration clause to select the ICC as the administering institution and chose Rwanda as the seat of arbitration. This agreement provides neutrality and allows both parties to avoid local court systems.
- **Case Law:** In *Sulamérica CIA Nacional De Seguros S.A. v. Enesa Engenharia S.A.* (2012), the English Court of Appeal affirmed party autonomy, reinforcing that the chosen seat and governing law should prevail unless public policy dictates otherwise.

Practice Tip: Lawyers should draft clear and detailed arbitration agreements, specifying the seat, governing law, and procedural rules to prevent jurisdictional conflicts and ensure smoother arbitration proceedings.

2.2 Arbitrability

The principle of Arbitrability refers to whether a specific type of dispute can be resolved through arbitration, rather than court litigation. Every state determines which issues are arbitrable, often limiting arbitration in areas like family law, criminal matters, and certain public policy issues.

- **Example:** In South Africa, disputes involving certain labor issues may not be arbitrable, as they are governed by specialized tribunals. In Ghana, the following types of cases are not arbitrable: matters related to the national or public interest; matters related to the environment; matters related to the enforcement and interpretation of the Constitution; matters related to felonies; also matters related to criminal action and matters related to abuse of human rights.
- Similarly, in some Middle Eastern jurisdictions, disputes involving real estate or intellectual property may not be arbitrable due to public policy restrictions.
- **Case Law:** In *Norscot Rig Management Pvt Ltd. v. Essar Oilfield Services Ltd.* (2016), an English court allowed cost recovery in a dispute over arbitrability, indicating that tribunals should have the discretion to determine whether a case is arbitrable based on contractual terms.

Practice Tip: Lawyers should verify arbitrability in the jurisdictions relevant to their clients' disputes, ensuring that all issues included in arbitration clauses are arbitrable to avoid enforcement challenges later.

2.3 Neutrality and Impartiality

The principle of neutrality in arbitration allows parties to select their neutral arbitrators and venues. This is particularly beneficial in cross-border disputes where parties may be wary of bias. Impartiality further ensures that arbitrators render decisions based solely on the case's facts and applicable law.

- **Example:** In a dispute between an Egyptian corporation and a European supplier, both parties agreed to arbitrate in Paris under ICC rules, selecting a neutral venue to reduce perceived biases.
- **Case Law:** *Halliburton Company v. Chubb Bermuda Insurance Ltd.* (2020) highlights the need for transparency in arbitrator appointments. In that case the UK Supreme Court underscored that arbitrators must disclose conflicts that may compromise their neutrality.

Practice Tip: Lawyers should vet arbitrators thoroughly, considering their backgrounds, industry knowledge, and any potential conflicts to ensure impartiality and neutrality.

2.4 Kompetenz-Kompetenz

The principle of kompetenz-kompetenz empowers an arbitral tribunal to determine its own jurisdiction, including decisions on the validity of the arbitration agreement. This principle allows arbitrators to resolve jurisdictional disputes before courts intervene, preserving the autonomy of the arbitration process.

- **Example:** In a contractual dispute between a South African mining firm and an Indian supplier, the tribunal applied kompetenz-kompetenz to rule on its jurisdiction after one party challenged the arbitration clause. This prevented delays and reinforced arbitration's autonomy.
- **Case Law:** In *Fiona Trust & Holding Corp v. Privalov* (2007), the UK House of Lords upheld kompetenz-kompetenz by affirming that the tribunal could decide jurisdictional issues, as long as the arbitration agreement was valid. This principle is particularly relevant for African and Middle Eastern lawyers seeking to maintain procedural efficiency.

Practice Tip: Lawyers should draft arbitration clauses carefully to support the application of kompetenz-kompetenz, reducing the risk of delays caused by jurisdictional challenges in court.

2.5 Confidentiality

The principle of confidentiality ensures that arbitral proceedings remain private, protecting sensitive information and preventing reputational risks associated with public court litigation.

- **Example:** A Saudi construction company engaged in arbitration to resolve a dispute with an international subcontractor, using confidentiality provisions to safeguard proprietary information.
- **Case Law:** *Emmott v. Michael Wilson & Partners Ltd.* (2008) reinforced that confidentiality is a fundamental aspect of arbitration, except in cases where disclosure is legally required or agreed upon by the parties. This principle is particularly relevant for African and Middle Eastern lawyers managing high-profile cases.

Practice Tip: Counsel should include confidentiality clauses in arbitration agreements to contractually obligate both parties to maintain privacy, preventing unintended disclosures.

2.6 Enforceability

Enforceability is a defining feature of arbitration. The New York Convention on the Recognition and Enforcement of Foreign Arbitral Awards enables enforcement of arbitral awards across borders in over 160 countries.

- **Example:** A Ghanaian logistics firm that obtained an arbitral award in London was able to enforce the award in its counterpart's jurisdiction under the New York Convention.
- **Case Law:** In *Dallah Real Estate and Tourism Holding Company v. Ministry of Religious Affairs, Government of Pakistan* (2010), the UK Supreme Court ruled against enforcement because the award did not meet New York Convention standards. This case highlights the importance of drafting clear agreements to meet enforcement requirements.

Practice Tip: Lawyers should ensure that arbitration agreements meet the New York Convention's criteria, facilitating enforcement in multiple jurisdictions and preventing enforcement challenges.

3. Specific Issues in International Arbitration for Lawyers in Africa and the Middle East

While the foundational principles of international arbitration are universal, unique challenges arise in African and Middle Eastern contexts, especially due to variations in arbitrability, cultural considerations, and enforcement obstacles.

3.1 Jurisdictional Challenges and Public Policy

Some African and Middle Eastern jurisdictions interpret public policy broadly, which may impact the enforcement of awards that conflict with national laws or values. This broad interpretation can limit arbitrability and enforceability.

- **Example:** In *Nigeria v. Process & Industrial Developments Limited (P&ID)*, the English High Court examined the arbitral award on public policy grounds, highlighting concerns about corruption and procedural irregularities. This case illustrates how public policy can affect enforcement.

The dispute stemmed from a 2010 Gas Supply and Processing Agreement (GSPA) between Nigeria and P&ID. Nigeria challenged the award in 2019 on the basis of alleged bribery and corruption by P&ID. The court found that the award was obtained through fraud and in violation of public policy. The court's findings included that P&ID's legal team:

- Bribed a Nigerian official to keep quiet about bribes
- Improperly obtained and retained privileged documents
- Relied on evidence they knew to be false

The court refused to enforce the award, stating that it was contrary to public policy. The court also found that Nigeria suffered substantial injustice. The judgment was delivered by Mr. Justice Robin Knowles CBE on October 23, 2023.

Practice Tip: Lawyers should prepare for potential public policy objections in jurisdictions where awards are enforced, advising clients on strategies to navigate these risks effectively.

3.2 Arbitrator Selection and Cultural Sensitivity

In regions where cultural and religious values influence arbitration, selecting arbitrators with a deep understanding of these norms can enhance the acceptance and fairness of arbitration outcomes.

- **Example:** A Middle Eastern corporation in a commercial dispute with a European partner selected an arbitrator experienced in Sharia principles, facilitating a culturally sensitive and mutually acceptable resolution.

Practice Tip: Counsel should evaluate arbitrators' familiarity with the cultural, legal, and religious contexts of the dispute. For cases involving Islamic finance, for instance, selecting arbitrators knowledgeable in Sharia principles can ensure culturally aligned outcomes.

3.3 Lex Mercatoria and UNIDROIT Principles

In cross-border contracts, African and Middle Eastern parties often opt to apply the UNIDROIT Principles of International Commercial Contracts or lex mercatoria (merchant law) to establish neutral terms that minimize jurisdictional biases.

- **Example:** A South African mining company and a European distributor agreed to use the UNIDROIT Principles to govern their contract, avoiding conflicts from differing national laws.

Practice Tip: Lawyers should be familiar with lex mercatoria principles, as their application can reduce jurisdictional complications and support fair outcomes, especially in disputes involving parties from varied legal traditions.

4. Case Law in International Arbitration Relevant to African and Middle Eastern Lawyers

Several cases highlight the application of key arbitration principles in African and Middle Eastern contexts, offering valuable insights for practitioners.

4.1 Karaha Bodas Company v. Pertamina

- **Background:** This case involved an energy contract dispute under UNCITRAL rules, with the award enforced in multiple jurisdictions despite public policy challenges from Indonesia.
- **Significance:** The case underscores the enforceability of arbitral awards under the New York Convention, even against public policy objections, reinforcing the reliability of arbitration for African and Middle Eastern parties.

4.2 National Oil Corporation v. Libyan Sun Oil Company

- **Background:** A Libyan court refused to enforce an ICC arbitral award, citing national public policy on resource protection.
- **Significance:** This case highlights enforcement challenges in jurisdictions that interpret public policy broadly, emphasizing the need for caution in selecting arbitration venues.

4.3 Emirates Trading Agency LLC v. Prime Mineral Exports Private Limited

- **Background:** The English court upheld an arbitral award despite procedural issues, underscoring the autonomy and enforceability of party-determined arbitration procedures.
- **Significance:** The case illustrates the respect courts afford to party autonomy, valuable for African and Middle Eastern lawyers drafting arbitration clauses.

Practice Tip: Lawyers should account for jurisdictional variations in enforcing awards, opting for arbitration-friendly venues to maximize the enforceability of awards.

5. Conclusion

International arbitration offers an effective, enforceable, and neutral framework for resolving cross-border disputes. For African and Middle Eastern lawyers, understanding foundational principles such as arbitrability, kompetenz-kompetenz, party autonomy, neutrality, confidentiality, and enforceability is essential for advising clients and managing arbitration effectively. By mastering these principles and recognizing unique regional challenges, counsel can better navigate cross-border disputes, safeguarding their clients' interests and supporting international business growth in these dynamic regions.

References:

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